



Our ref: IM-72818

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30 May 2025

Dear Interested Party

Re: ACCC seeking your views: Cement Australia, Holcim, Heidelberg Materials Australia and Adbri's acquisition of BGC's cementitious assets

In February 2025, the Australian Competition and Consumer Commission (**ACCC**) commenced its informal review of Cement Australia (Queensland) Pty Ltd (a wholly owned subsidiary of Cement Australia Holdings Pty Ltd (**Cement Australia**)), Holcim (Australia) Pty Ltd (**Holcim**) and Heidelberg Materials Australia Pty Ltd's (**HMA**) proposal to acquire BGC Cementitious (the **Initial Proposed Acquisition**).

In response to preliminary competition concerns raised by the ACCC, Cement Australia, Holcim, and HMA put forward a restructured proposed transaction with BGC's support, that incorporates Adbri Pty Ltd (**Adbri**) as a party. Under the restructured transaction:

- Adbri will acquire certain BGC Cementitious assets, including BGC Quarries, BGC Asphalt, six of BGC Concrete's ready-mix concrete (**RMX**) sites, two mobile concrete plants and the transport assets associated with those assets and the company's Materials Technology Centre (excluding cement-related assets),
- Cement Australia, Holcim and HMA will acquire the remaining assets (being the cement plant and the transport assets associated with cement plant, and three RMX sites) (the **Amended Proposed Acquisition**).

Further details about the parties and the Amended Proposed Acquisition can be found in **Attachment A**.

The ACCC's investigation is now focused on the impact on competition of the Amended Proposed Acquisition. In particular, we are seeking your views on:

- the extent to which having two suppliers of cement with vertical relationships to RMX suppliers in Greater Perth will impact competition and in particular the supply of RMX
- how closely Holcim, HMA and BGC currently compete in the supply of RMX in greater Perth, with a focus on BGC's RMX plants at Bassendean, Canning Vale and Kwinana, and
- whether Adbri's acquisition of BGC Quarries, BGC Asphalt or the transport operations (which will service the BGC Quarries and Asphalt business units, as well as the RMX sites acquired by Adbri) raises competition concerns, particularly in the supply of asphalt or RMX.

Further issues you may wish to address are set out at **Attachment C**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the Amended Proposed Acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **5pm AEST on 13 June 2025** via email to mergers@accc.gov.au with the title: *Submission re: Cement Australia – Adbri - BGC*. If you require more time to respond, please let us know.

If you would like to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC will not publish submissions regarding the Amended Proposed Acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our Informal Merger Review Process Guidelines contain more information on confidentiality.

Yours sincerely



Morag Bond
General Manager
Merger Investigations

Attachment A – Overview of parties, the Initial Proposed Acquisition and Amended Proposed Acquisition

Cement Australia

Cement Australia is a privately held 50:50 joint venture between Holcim and HMA. Cement Australia supplies cementitious products and services, including bulk and packaged cement, fly ash and slag products.

Cement Australia has operations in NSW, Victoria, Queensland, SA, ACT, WA and Tasmania. Cement Australia does not have any cement or slag production facilities in WA.¹

The operations of Cement Australia are governed by a Framework Agreement which establishes ring-fencing between Cement Australia, Holcim and HMA, placing restrictions on Holcim and HMA from accessing information about the sale of cementitious products by Cement Australia to each other party to the joint venture or to other customers.

Holcim

Holcim is a Swiss multinational company that manufactures and supplies various building materials across Australia, including aggregates, concrete and pre-cast pipes. In Western Australia, Holcim owns and operates several RMX plants and quarries (hard rock and sand).

HMA

HMA is a German multinational company that manufactures and supplies various building materials across Australia, including aggregates, concrete and asphalt. In Western Australia, HMA owns and operates a number of RMX plants and quarries (hard rock and sand).

Adbri

Adbri is an Australian company owned by CRH ANZ Pty Ltd and the Barro Group. Adbri manufactures, imports and supplies various building materials across Australia, including clinker, cement, quicklime, aggregates, RMX, concrete masonry products and supplementary cementitious materials such as fly ash and slag.

In WA, Adbri produces and supplies cement, slag and lime through its subsidiary, Cockburn Cement Limited. Adbri has two cement mills, located in Munster and Kwinana. However, Adbri's cement production sites are currently being consolidated into a single upgraded site at Kwinana. This will result in an increase in Adbri's total cement production capacity, from 1.1 to 1.5 million tonnes per annum.² Adbri does not currently hold any assets or operate in markets for the supply of aggregates, RMX or asphalt in WA.

BGC Cementitious

BGC Cementitious is a division of the BGC Group which supplies cementitious products in WA including:

- cement and slag through BGC Cement
- aggregate (hard rock and manufactured sand) through BGC Quarries, which operates a hard rock quarry at The Lakes

¹The ACCC understands that Cement Australia acquires and resupplies cement to Holcim and HMA in WA, and Cement Australia does not resupply cement that it acquires to third parties in WA.

² Refer to the Adbri ASX announcement: <https://www.asx.com.au/asxpdf/20201217/pdf/44r1p415srn4l2.pdf>

- RMX through BGC Concrete, and
- asphalt through BGC Asphalt.

BGC Transport owns and operates a number of vehicles, operating out of different hubs used in the BGC Cementitious business. BGC's Materials Technology Centre is a testing laboratory for cement, concrete, asphalt and related products located in Hazelmere.

The Initial Proposed Acquisition

As a part of the Initial Proposed Acquisition, Cement Australia, Holcim and HMA were to acquire the BGC Cementitious assets as follows:

- BGC Cement was to be acquired and operated by Cement Australia.
- BGC Quarries and BGC Asphalt were to be acquired and operated by a new 50:50 joint venture between Holcim and HMA, which would operate as a production joint venture in respect of aggregates.
- Eight of BGC Concrete's RMX sites in greater Perth were to be divided between Holcim and HMA. Holcim would acquire the RMX sites at Quinns Rocks, Canning Vale, Hazelmere and Mandurah. HMA would acquire the RMX sites at Armadale, Kwinana, Bassendean and Moora.

Under the Initial Proposed Acquisition, Cement Australia had proposed to offer a court-enforceable undertaking pursuant to section 87B of the *Competition and Consumer Act 2010* (Cth) by which Cement Australia had proposed to divest the BGC Wangara RMX plant (located at 329 Gngangara Road, Wangara WA 6065) to an ACCC-approved buyer following completion.

The ACCC commenced inquiries on the Initial Proposed Acquisition and received market feedback on the Initial Proposed Acquisition from a range of market participants at various levels of the relevant supply chains, including aggregates, cement, RMX and asphalt.

Following market inquiries, the ACCC informed the merger parties that it had preliminary, but significant competition concerns with the transaction.

In particular, the ACCC advised that it had significant competition concerns in respect of:

- the supply of hard rock aggregates in Greater Perth
- the supply of RMX in Greater Perth.

The ACCC also advised that it was continuing to investigate the competitive effects in the supply of cement in Greater Perth.

Overview of the Amended Proposed Acquisition

Following the ACCC advising the parties of its competition concerns with the Initial Proposed Acquisition, Cement Australia, Holcim, HMA and BGC put forward the Amended Proposed Acquisition.

Under the Amended Proposed Acquisition, Cement Australia, Holcim, HMA and Adbri propose to acquire BGC Cementitious from BGC Group, with the assets to be split as follows:

1. Adbri to acquire:
 - BGC Quarries and BGC Asphalt.

- Six of BGC Concrete's RMX sites in greater Perth, specifically, plants at Hazelmere, Armadale, Quinns Rock, Wangara, Mandurah and Moora and two mobile concrete plants currently located at Hazelmere and Rottnest Island.
 - Transport operations which service the BGC Quarries and Asphalt business units and the six RMX sites outlined above.
 - BGC Materials Technology Centre, excluding cement-related assets.
2. Cement Australia to acquire:
- BGC Cement, including the transport assets associated with BGC Cement and the cement assets associated with the BGC Materials Technology Centre.
 - BGC Concrete's RMX site at Kwinana, which Cement Australia will lease to Holcim.
3. HMA to acquire:
- BGC Concrete's RMX site at Bassendean.
4. Holcim to acquire:
- BGC Concrete's RMX site at Canning Vale.

A map of the BGC fixed plant RMX locations in Greater Perth being acquired by Holcim, HMA and Adbri can be found at **Attachment C**.

The ACCC's investigation is now focused on the impact on competition of the Amended Proposed Acquisition. In particular, we are seeking your views on the following:

- the extent to which having two suppliers of cement with vertical relationships to RMX suppliers in Greater Perth will impact competition, in particular downstream rival RMX suppliers
- how closely Holcim, HMA and BGC currently compete in the supply of RMX in greater Perth, with a focus on BGC's RMX plants at Bassendean, Canning Vale and Kwinana, and
- whether Adbri's acquisition of BGC Quarries, BGC Asphalt or the transport operations (which will service the BGC Quarries and Asphalt business units, as well as the RMX sites acquired by Adbri) raises competition concerns, particularly in the supply of asphalt or RMX.

Attachment B – Questions for market participants

If you have not already done so in an earlier submission:

1. Provide a brief description of your business or organisation.
2. Outline the reasons for your interest in the Amended Proposed Acquisition, including any commercial relationship(s) with Cement Australia, Holcim, HMA, Adbri and/or BGC. This will help us better understand your views.

Areas of overlap & vertical relationships

The ACCC understands that in Western Australia, Holcim, HMA and BGC overlap in the supply of aggregates and RMX, and BGC and Adbri overlap in the supply of cement.

Cement Australia, Holcim and HMA do not currently supply cement or asphalt in Western Australia (except for the cement that Cement Australia acquires and resupplies to Holcim and HMA), and Adbri does not currently supply aggregates, asphalt or RMX in Western Australia.

The ACCC notes that:

- cement is a key input into the production of RMX, and
- aggregates are a key input into the production of RMX and asphalt.

If relevant, please provide any documents and/or data to evidence your submissions.

Cement

3. How closely do Adbri and BGC currently compete to provide cement in greater Perth, taking into account factors such as:
 - a) price, including specials, discounts and promotions
 - b) quality and range of goods, service quality
 - c) customer type
 - d) geographic location, and
 - e) reputation.
4. If the Amended Proposed Acquisition were to proceed, explain whether you consider Cement Australia and/or Adbri would each have the ability and/or incentive to reduce supply of, or increase prices of, cement to third-party RMX suppliers. Please explain the basis for your view, including:
 - a) your current experience in obtaining cement from Adbri compared to BGC, noting that BGC is currently engaged in the supply of RMX and Adbri is not
 - b) your experience in dealing with suppliers of cement that are vertically integrated (or have other forms of vertical relationships with RMX suppliers in other markets, if any, and
 - c) any documents and data which support your view.

5. Describe the extent to which products such as fly ash and slag are alternatives for cement supplied by Adbri and BGC in Western Australia. In your response, consider:
- a) price
 - b) quality
 - c) product range, and
 - d) geographic location of relevant plants and transit time.

RMX

6. In relation to RMX plants, please provide the following information:
- a) How closely do HMA and/or Holcim currently compete with each other?
 - b) How closely will HMA and/or Holcim's RMX plants in or near Bassendean, Canning Vale and Kwinana compete with BGC's RMX plants at Bassendean, Canning Vale and Kwinana, taking into account factors such as:
 - i) price, including specials, discounts and promotions
 - ii) quality and range of goods, service quality
 - iii) customer type
 - iv) geographic location, and
 - v) reputation.
 - c) List and describe the main competitors of BGC's RMX plants at each of Bassendean, Canning Vale and Kwinana.
7. For RMX customers, what options do you consider alternatives to BGC's RMX plants at each of Bassendean, Canning Vale and Kwinana? Please explain which alternatives may be more or less viable as a result of delivery time or distance, or any other factors including those listed at question 7.
8. In relation to the RMX plants to be acquired by Adbri (i.e. Hazelmere, Armadale, Quinns Rock, Wangara, Mandurah and Moora and two mobile concrete plants currently located at Hazelmere and Rottnest Island) as a part of the Amended Proposed Acquisition, explain whether you consider Adbri would have a sufficient RMX network to be able to produce and deliver RMX across greater Perth, and compete with existing RMX suppliers including Holcim and HMA.

Aggregates & asphalt

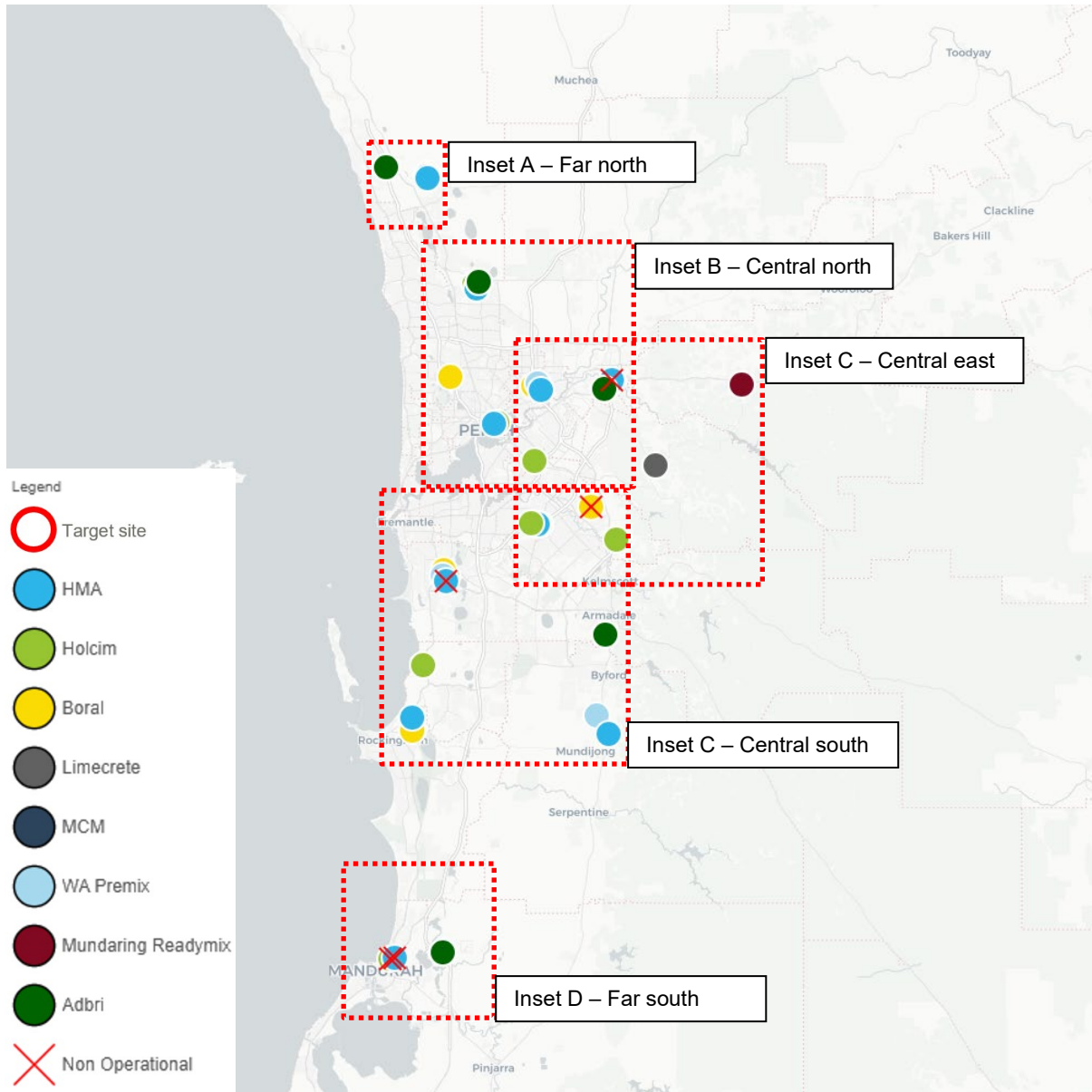
9. As a part of the Amended Proposed Acquisition, Adbri will also acquire:
- a) BGC Quarries
 - b) BGC Asphalt, and
 - c) Transport operations which service the BGC Quarries and Asphalt business units and the six RMX sites outlined above.

Explain whether you have any comments or concerns arising out of Adbri's acquisition of these assets.

Other information or competition issues

10. Provide any additional information or comments that you consider relevant to the ACCC's consideration of the Amended Proposed Acquisition.

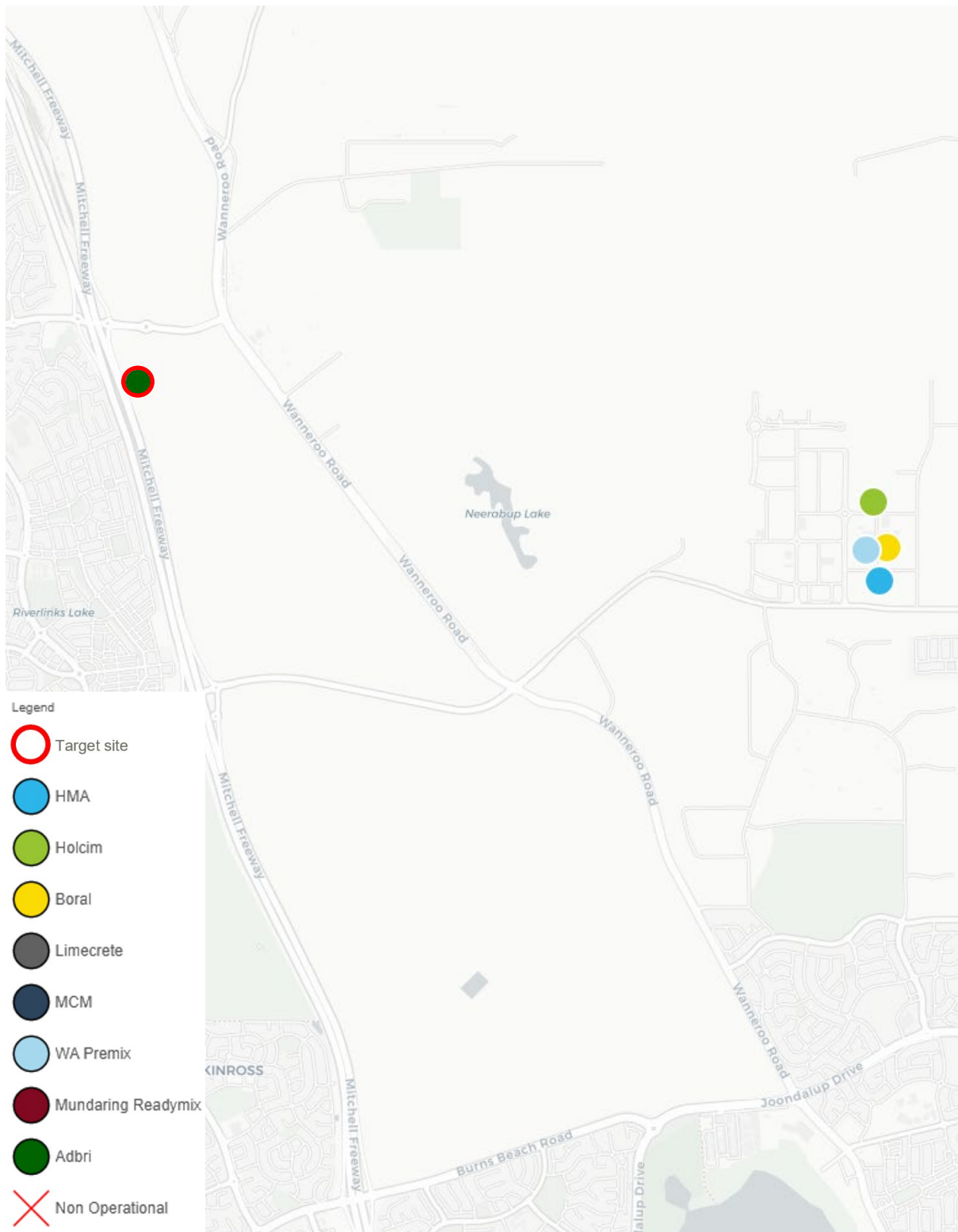
Attachment C – Map of RMX sites in Greater Perth



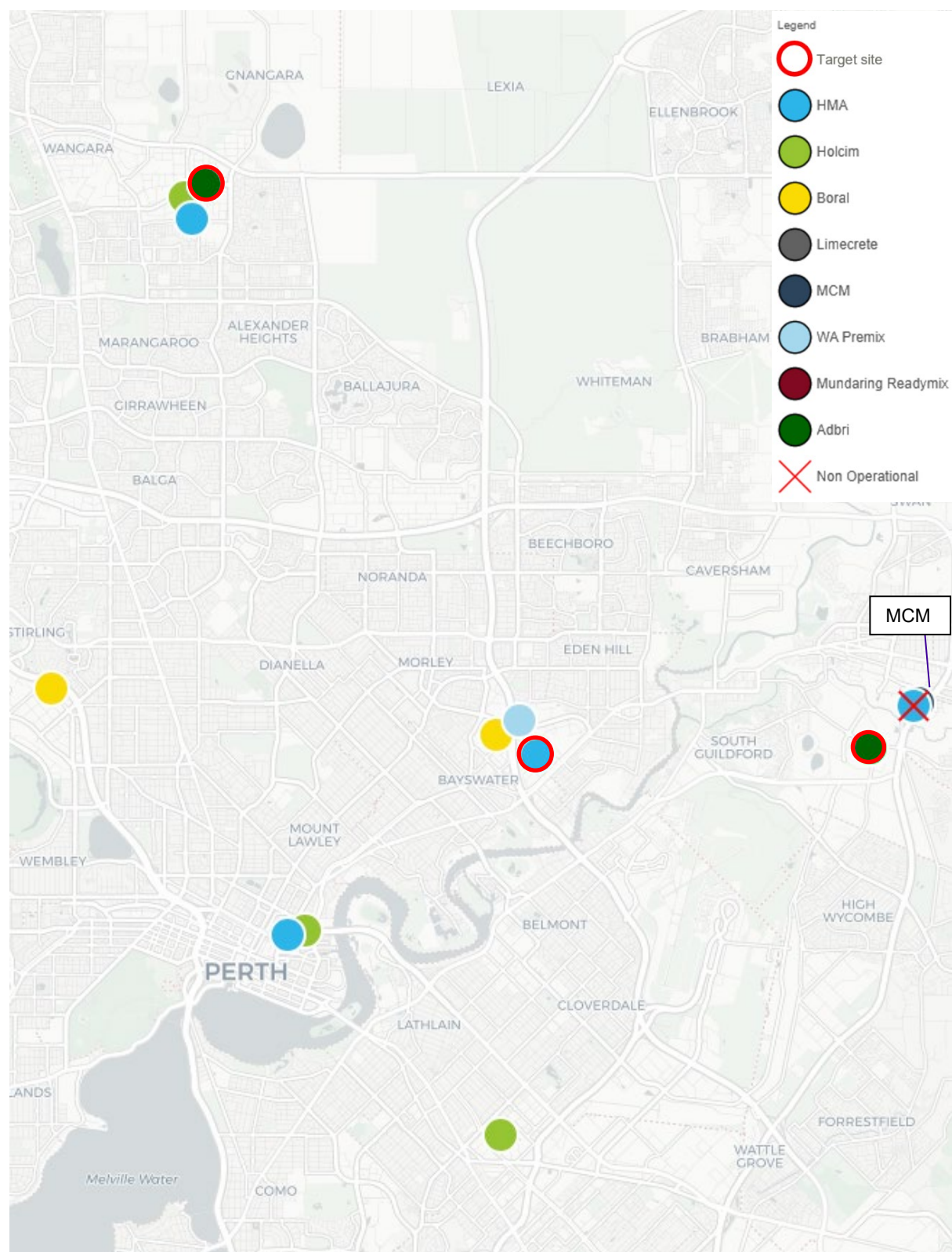
Notes:

- Legend denotes the owner or long-term lessee of the RMX plant post-acquisition
- Plant location information has been supplied by merger parties or obtained from publicly available sources
- Map does not include mobile batching plants
- BGC Moora (approx. 170km north of Perth by road) is not depicted, but is proposed to be acquired by Adbri

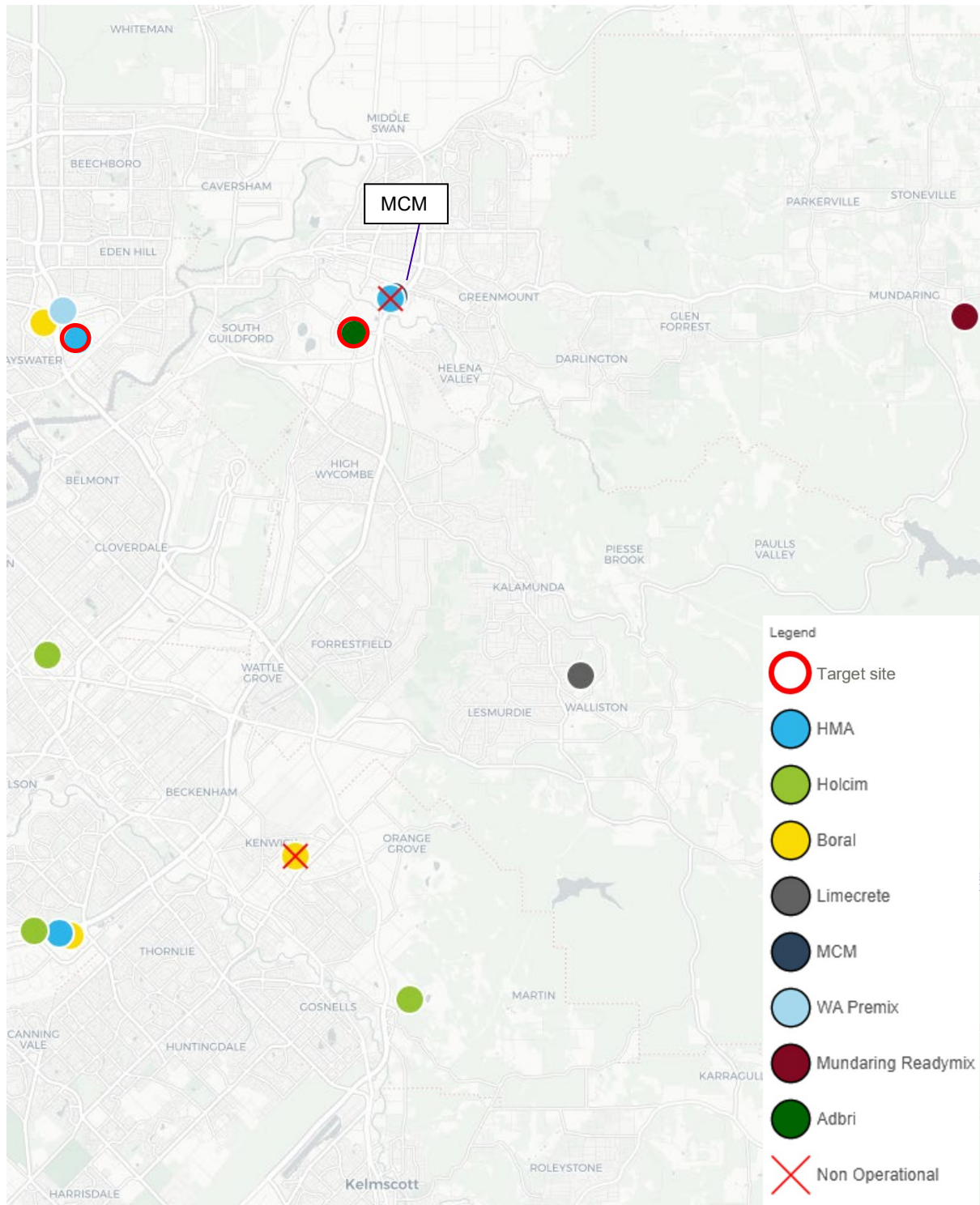
Inset A – Far north



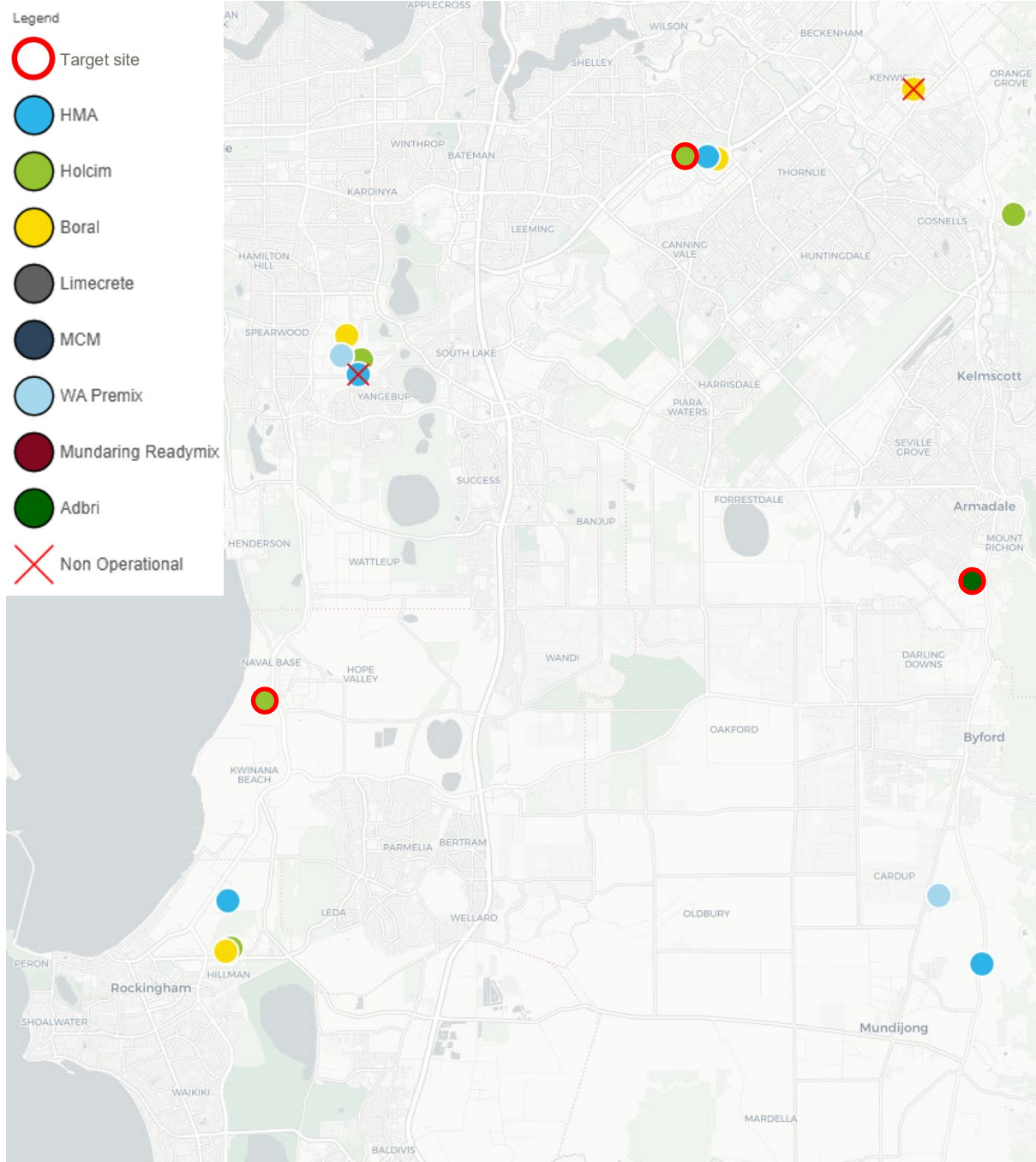
Inset B – Central north



Inset C – Central east



Inset D – Central south



Inset E – Far south

